IAE PARIS — SORBONNE BUSINESS SCHOOL · IDGP ACADEMY

The Value Case Canvas

The instrument for the morning's group activity. One authorised project, appraised by the people who know it well enough to defend it.

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Companion to the Lean Six Sigma & Continuous Improvement reading notes

This printed version is for working in the room. The same canvas is fillable and exportable online, which is the version to use when the appraisal has to leave the session.

Contents

Which edge of value the project moves, which named waste it removes, where the time in its value stream actually goes, and whether the organisation ends up more capable or only better equipped.

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> **Two results are common.** Only one edge moves, and C is empty. Neither is a failure of the project you chose; both are findings worth reporting.

A conventional business case answers one question: does the return exceed the cost? That question is necessary and it is not sufficient, because it is silent on three things that decide whether the return survives — and the canvas asks exactly those three.

It is the group activity that closes the morning session, Lean Six Sigma & Continuous Improvement. It is worked in groups of three or four on **one real project** chosen from those the members bring, and it is designed so that it can be filled in without the instructor: Part One below sets out the few ideas each field relies on, Part Two is the canvas itself, and Part Three says how to read what comes out.

ONE

What you need in order to answer

Each field of the canvas uses one idea from the morning. If any of them is unfamiliar, the reading notes treat it in full in the part shown.

Field	The idea it relies on	In the reading notes
2 · The WTP edge	Value is created on two edges only: raising what the customer is **willing to pay** (WTP), or lowering what it costs to serve them. WTP is moved through four competitive priorities — cost, quality, delivery speed, flexibility. An **order winner** creates preference; a **qualifier** only avoids elimination, and effort above its threshold buys nothing. Quality is not one variable: conformance lowers cost, while reliability, durability and serviceability raise WTP.	Part Two
3 · Map the stream	**Process time** is the time anyone is actually working on the unit; **lead time** is the elapsed time from first step to last. Their ratio is flow efficiency — usually between two and ten per cent in administrative processes. The gap between the two numbers is queue, and it is where the project should be aimed.	Parts Three and Four
4 · The cost edge	The eight wastes: overproduction (the root), waiting, transport, over-processing, inventory, motion, defects, unused talent. "Reduces costs" is a consequence, not a waste. A saving that cannot be named as one of the eight is an aspiration until somebody defines it.	Part Three
5 · What it builds	**$V = C \times (A + P)$**. A is what the organisation owns; P is how work flows across it; C is its repeated ability to improve P. A and P are purchasable by any competitor; C is the coefficient. The test for C is strict: training people to operate a new system is part of delivering the asset, not capability.	Parts Two and Eight
6 · The verdict	Advantage is a comparison: **$VC = (WTP_A - Cost_A) - (WTP_B - Cost_B)$**. If a competitor can make the same move, the two brackets converge and the advantage returns to zero. So the verdict asks how long replication would take — and what would have to be added for the project to build C.	Part Two

TWO

Filling in the canvas

THE RAW MATERIAL

One authorised project from your own organisation — in flight or recently approved — that you know well enough to defend. It does not need to be large, successful, or yours. Groups choose one project from among those their members propose, and the choice takes ninety seconds: pick the one the group disagrees about, not the one with the best business case.

Why this appraisal differs from a standard business case

- **Which edge of value does this move?** A project that only lowers cost is competing on the edge where every rival is also working. A project that raises willingness to pay is harder, rarer, and usually under-argued because the number is harder to produce.
- **Is the cost saving a named waste, or an aspiration?** "Improves efficiency by 15%" is a target. "Eliminates the three re-approvals caused by incomplete submissions" is a waste with a name, and only the second can be verified afterwards.
- **Does the organisation end up more capable, or only better equipped?** A project that delivers assets and processes can be replicated by any competitor willing to spend the same money. A project that leaves the organisation better at improving cannot.

Those three questions are one question in disguise, and VC states it: a project is worth defending to the extent that it widens the gap between *(WTP − cost)* for your firm and the same quantity for the competitor you are actually losing deals to. Field 6 is where that is settled.

The Value Case Canvas

Groups of three or four · 15 minutes to complete · 3 minutes to defend

The group picks **one** of the projects brought by its members and completes six fields, one of which is a short value stream sketch. Disagreement inside the group is the point — if you all agree in the first three minutes, you have chosen a project that is too easy.

Fill this in here. One person per group types; everything is saved in that browser as you go, and the buttons at the end produce a file to send on.

1 · The project

What it is, who sponsors it, and what it was approved to achieve.

One line

2 · The WTP edge — does the customer notice?

Identify whether this project raises what someone would be willing to pay, and be precise about the mechanism.

Competitive priority affected

The four operational things a customer can be paying for, from Part Two. Pick the one this project moves most.

- [ ] Cost
- [ ] Quality
- [ ] Delivery speed
- [ ] Flexibility
- [ ] None — this project does not move any of them

Quality dimension, if any

Conformance lowers cost. Reliability, durability and serviceability raise willingness to pay.

- [ ] Performance
- [ ] Features
- [ ] Reliability
- [ ] Conformance
- [ ] Durability
- [ ] Serviceability
- [ ] Aesthetics
- [ ] Perceived quality

Order winner or qualifier?

- [ ] Order winner — it produces preference
- [ ] Qualifier — its absence eliminates us, its presence attracts nobody
- [ ] Neither

Who is the customer here — and would they notice?

If the honest answer is that nobody outside would notice, say so. Many sound projects move only the cost edge.

The customer, and yes or no

3 · Map the stream — where the time actually goes

Sketch the process the project touches, at the level of three to six steps. You are not drawing a full value stream map in ten minutes; you are producing the two numbers a map exists to produce, and locating the gap between them.

The steps, in sequence

Three to six, each with who performs it. Separate them with arrows: request → triage → approval → execution.

step (who) → step (who) → step (who)

Process time — the time anyone is actually working on it

Add up the hands-on time across the steps. An estimate the group can defend is enough.

e.g. about 4 hours

Lead time — elapsed time from first step to last

Calendar time, not working time. The ratio of the two is your flow efficiency, and it is usually between two and ten per cent.

e.g. about 3 weeks

Where the gap sits

Name the one or two places that hold most of the elapsed time. That is where the project should be aimed, and it is frequently not where it is aimed today.

The queue, the approval, the handoff

4 · The cost edge — name the waste

Now name which of the wastes lives in the gap you just located. Name it from the list; do not substitute a benefit for a waste.

Primary waste removed

- [ ] Overproduction — the root waste
- [ ] Waiting
- [ ] Transport
- [ ] Over-processing
- [ ] Inventory
- [ ] Motion
- [ ] Defects
- [ ] Unused talent
- [ ] None of the eight — then the project does not move the cost edge, and the verdict should say so

Where in the process it occurs today

The step or the queue

Secondary wastes affected

Optional.

Optional

Order of magnitude, if you can estimate it

Optional. Days, hours, percentage — whatever you can defend.

Optional

The test: "reduces costs" and "improves productivity" are not wastes — they are consequences. If the group cannot name a waste from the list, the project may be removing something real that nobody has yet defined, which is itself a finding worth reporting. And if the waste removed is *overproduction*, note it: that is the root waste, and the project is probably worth more than its business case claims.

5 · What the project actually builds

Decompose the deliverable into the three terms. Most projects touch more than one; few touch all three.

A — Assets

What is bought or built?

P — Processes

What flow changes, and how?

C — Capability

What will this organisation be able to do afterwards that it could not do before — and that does not depend on the new system?

The test for C is strict. Training people to operate the new system is not capability — it is part of delivering the asset. Capability means the organisation ends the project *better at improving processes than it was before*: a routine that survives, a standard that is now owned, a group that can now run the next improvement without external help. Most projects leave C untouched, and that is a legitimate answer.

6 · The verdict

How long before a competitor could replicate this?

- ☐ Months
- ☐ A year or two
- ☐ Years
- ☐ They could not — and here is why

The decision

- [ ] Fund
- [ ] Fund with conditions
- [ ] Do not fund

If conditions: what would have to be added to build C? If you chose "they could not", say here why.

One line

The group presents field 1 and field 6, with the reasoning that connects them. Three minutes, one spokesperson.

THREE

How to read the result

What to expect

Two results are common enough to be worth naming in advance, and neither is a failure of the project you chose.

Only one edge moves

Most project portfolios are built almost entirely of cost-edge projects. That is not wrong, but it is a choice, and usually an unexamined one. The question it raises: what would it take for this same project to also move willingness to pay — and would that cost much more?

C is empty

Projects deliver assets and processes because those are what can be specified, scheduled and signed off. Capability resists all three. The question it raises: if A and P are purchasable by any competitor, what in this portfolio is actually building advantage?

After the session

Download the canvas before closing the tab and bring it to the afternoon session, Digital Tools & Benchmarking, which examines the digital tooling the same project depends on with a second instrument, the Digital Tool Appraisal. Keep the export: Module 3 closes with a group Execution Optimization Challenge, and an appraised project of your own is the kind of material it draws on.

FOUR

Sources

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